2026 ANNUAL LETTER

Building durable growth in a changing market

Letter to Shareholders | Fiscal Year Ended 30 June 2026

S$2.84B	18.6%	93%	S$184M
REVENUE	EBITDA MARGIN	RECURRING / REPEAT REVENUE	FREE CASH FLOW

Dear Shareholders

Fiscal 2026 was a year of disciplined execution for Northbridge Group. We grew in a market defined by uneven demand, higher expectations for resilience and security, and rapid adoption of artificial intelligence across regulated industries. Our response was straightforward: stay close to clients, invest where our capabilities are differentiated, and protect the quality of earnings.

Revenue increased 11% year on year to S$2.84 billion, while EBITDA margin expanded 120 basis points to 18.6%. More importantly, we strengthened the durability of the business. Recurring and repeat revenue represented 93% of group revenue, client retention remained above 95%, and free cash flow reached S$184 million. These outcomes give us flexibility to invest through cycles rather than react to them.

Three priorities shaped the year

1. Modernise the core - We continued to simplify our technology estate, retiring legacy platforms and moving more workloads to cloud-native, observable services. The programme reduced critical incidents by 28% and shortened average release lead time from 12 days to 3 days.
2. Grow where trust matters - Demand remained strongest in regulated financial services, market infrastructure and enterprise workflow automation. We won 17 strategic programmes with multi-year scope, including three regional platform consolidations.
3. Put AI to work responsibly - We moved beyond experimentation. AI-assisted operations, document intelligence and engineering copilots are now embedded in 41% of eligible workflows. Every production use case is governed by our Responsible AI Standard, with human accountability, model monitoring and data controls built in.

> **Capital allocation remains disciplined**
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> Our first call on capital is reinvestment in the business. We then balance strategic acquisitions, shareholder distributions and balance-sheet resilience. Net debt remained below 1.0x EBITDA at year end, preserving capacity for selective growth investments.

OUTLOOK

Entering FY2027 with confidence and discipline

We expect technology budgets to remain selective. Clients are prioritising fewer programmes, but they are concentrating spend on platforms that reduce operational risk, improve productivity and simplify fragmented estates. That plays to Northbridge's strengths.

Our FY2027 agenda is focused on four outcomes: accelerating organic growth in priority accounts, improving delivery leverage through reusable platforms, expanding AI-enabled offerings, and continuing to simplify the operating model. We are targeting mid-to-high single-digit organic revenue growth with further modest margin expansion over the medium term.

WHAT WE WILL PROTECT

- Client trust and delivery quality
- Balance-sheet resilience
- Long-term investment discipline

WHERE WE WILL PRESS

- AI-enabled productivity
- Regional financial infrastructure
- Recurring platform revenue

A final word

Our progress is the result of teams who combine technical depth with an unusually strong sense of responsibility to clients. I am grateful to our colleagues for their judgement and energy, to our clients for their trust, and to you - our shareholders - for your continued support.

We enter the new year clear-eyed about the environment and confident in the quality of the business we are building.

Elena Hart
Group Chief Executive Officer
7 October 2026

About this document
Northbridge Group is a fictional organisation created for illustrative corporate-communications purposes. Financial figures and operating metrics are fictional.